

WHAT PROPERTY MAY BE MADE THE SUBJECT OF A TRUST.

As a general rule, all property, whether real or personal, and whether legal or equitable (*a*), may be made the subject of a trust, provided the policy of the law, or any statutory enactment, does not prevent the settlor from parting with the beneficial interest in favor of the intended *cestui que trust*.¹

1. Copyholds may be subject of trust, and equitable interest descends as legal. — A trust may be created of lands regulated by local custom, as copyholds. Thus, A., tenant of a manor, may surrender to the use of B. and his heirs, upon trust for C. and his heirs. And as equity follows the law, the trust in C. will devolve in the same manner as the legal estate.

2. Power to entail equitable interest depends on custom to entail legal estate. — If the custom of the manor permit an *entail* of the legal estate, an entail may in like manner be created of the equitable (*b*); but if there be no such custom as to the legal estate, there can be no entail of the equitable (*c*). Where, therefore, the equitable interest in lands held

(*a*) *Knight v. Bowyer*, 23 Beav. 609, see p. 635; 2 De G. & Jon. 421. [But there can be no trust of a peerage which is by its very nature a personal possession. *Buckhurst Peerage*, 2 App. Cas. 1.]

(*b*) *Pullen v. Middleton*, 9 Mod. 484; 1 Preston Conv. 152.

(*c*) The opinion of *Watkins*, Treat. on Cop. p. 153, and following pages, that there may be an entail of copyholds without a special custom, cannot be maintained.

¹ *McCarthy v. Blevins*, 5 Yerg. 195; *Robinson v. Mauldin*, 11 Ala. 977; *Clemson v. Davidson*, 5 Binn. 392; *Morton v. Naylor*, 1 Hill, 439. Property not in existence as well as property not owned by the settlor may be the subject of a trust. *Calkins v. Lockwood*, 17 Conn. 154; *Stewart v. Kirkland*, 19 Ala. 162; *Pennock v. Coe*, 23 How. 117; *Brooks v. Hatch*, 6 Leigh, 534; *Holroyd v. Marshall*, 2 Giff. 382; *Hinkle v. Wanzer*, 17 How. 353; *Bank v. Hastings*, 15 Wis. 75. But see *Garrow v. Davis*, 15 How. 277; *Gardner v. Adams*, 12 Wend, 297; *McKee v. Judd*, 2 Ker. 622; *Dunklin v. Wilkins*, 5 Ala. 199, *Story*, Eq. Jur. §§ 1040-1055.